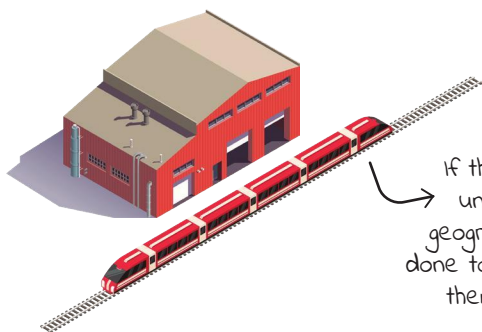


Asset Specificity in Industry

(Geographical specificity/dedicated assets/Human specificity)

Some industries have assets that are specific to them and these cannot be put to any alternative use. High exit costs and risky capital expenditure upfront discourage new investments.

- For instance, some assets that have been used in a particular geography cannot be shifted or moved to another use. They can be used only for that particular purpose.



If the business becomes unviable in a particular geography, not much can be done to shift the assets or put them to a different use.

Warehouse and Metro projects



These are dedicated digital assets, which are built specifically for the needs of the buyers or for particular orders, and they cannot be put to any other use.

Interior Design

- High asset specificity in the industry reduces the threat of entry into the industry. Once laborers are trained for a particular industry, it may be very difficult for them to work in any other industry. Such specificity in assets makes investments risky and discourages entry into an industry.